

**THE UNIVERSITY OF ZAMBIA
HUMANITIES AND SOCIAL SCIENCES
ECONOMICS DEPARTMENT**

ECN1215 TUTORIAL SHEET 5

INSTRUCTIONS: ANSWER ALL QUESTIONS

1. Distinguish (also show graphs) between the IS curve and the LM curve?
2. Put the IS curve and the LM curve together to get the IS-LM model, define the model, for each of the following policies, identify whether its fiscal or monetary policy and use the model to show the effects of each of the policies?
 - a) An increase in Government Purchases
 - b) A decrease in taxes
 - c) An increase in money supply
 - d) An increase in Government purchases coupled with an equal decrease in money supply
3. Clearly distinguish between the following terms?
 - a) Trade surplus vs Trade deficit
 - b) Absolute advantage vs Comparative Advantage
 - c) Terms of Trade vs Exchange rate
 - d) Import tariff vs Import quota
4. Using the data given in the table below; determine which country has absolute or comparative advantage in which commodity between Zambia and Malawi (assuming the two countries have the same amount of resources)?

	Maize	Cotton
Zambia	3	6
Malawi	3	5

5. Explain the economic basis for trade?
6. Given that Zambia and South Africa both produce Maize and Cotton using land as the only resource. Zambia produces 12 bushels of maize and 4 Units of cotton per acre of land while SA produces 12 units of cotton and 4 bushels of maize per acre of land.
 - a) Determine how much of each commodity each country will produce if it uses all its land to produce either of the commodities?
 - b) Determine which commodity each country has an absolute advantage in, do the same for comparative advantage?
 - c) Sketch the pre-trade production possibility frontiers for each country if they both consume 300 bushels of maize and 200 units of cotton?
 - d) Is it possible for trade to take place? If yes, which commodity should each country specialise in?
 - e) Show that with trade, it's possible for each country to consume outside its PPF?